

**Segment 5 : Business Investment Strategies, Continuity
Plan and Role of Creativity and Innovation
in Business**

Topic 1 : Business Investment Strategies

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1.1 Introduction

Before learning about Business Investment Strategies, you must first understand a business plan concept. A business plan is a document that summaries business, operational, and financial objectives. It is a roadmap to grow a business with detailed plans and budgets stating how the intended goals will be achieved. Building a business plan is an important first step for anyone starting a business. Having thought through these steps, an entrepreneur will be able to track the progress of a business. There are many types of business plans for different businesses. The best business plans are living documents that respond to real-world situations quickly.

In this chapter, you will also learn about the concept of a Business Venture. Business Venture refers to a new business set up with a plan and expecting financial gains to follow. Often, this type of business is referred to as a small business, as it starts with a small number of financial resources.

Later in this chapter, you will study in detail about Business Investment Strategies. Investment strategies vary widely. There is no one-size-fits-all approach to investing, which means no single program works for every organisation. This also means that an organisation needs to re-evaluate and redesign its strategies as it grows to adapt to the changing business environment. An investment strategy is a defined approach to investment. The chosen strategy shapes the decisions an investor makes for a business. Different investment strategies use specific tactics based on business fundamentals. For example, in value investing, investors pick up valuable stocks trading at lower prices than their book value and sell these stocks at less than their real value. While in growth investing, investors look out for investment opportunities in companies with high growth potential.

This chapter will give an insight into the different aspects of a business investment strategy that will help the manager and investor to make related decisions. This chapter will deal with the ways and means to form a business plan. Also, the concept of a business venture will be discussed.

Learning Objectives

After studying this chapter, you will be able to:

- Describe a business plan and its process
- Explain a business venture

- Compare and contrast the different types of business ventures
- Explain the concept of Investment Strategies and their types

1.2 Business Plan

A business plan is a written description of the future of a business. It is a document that explains what you plan to do with a business and how you plan to do it. Business plans are used by entrepreneurs to be presented to potential investors. They can also be used by firms that are trying to attract key employees, oversee new businesses, deal with suppliers, or simply focus on managing their companies better.

A business plan is a written document that explains in detail how a business - usually a start-up - describes its goals and how it will achieve its objectives. A business plan lays down a company's roadmap from marketing, finance, and operational perspective. Business plans are important documents used to attract investments before a company can establish itself. It helps companies to keep their focus on the future. While they are especially useful for new businesses, every company needs to have a business plan. A plan is updated and reviewed from time to time -- to see if the goals have been achieved or have changed. Sometimes, a new business plan is created for an established business that decides to move in a new direction.

Most business plans have certain similarities, such as stating cash flow estimates and marketing strategies—many shares common interests, such as raising money or persuading a partner to join a company. Stakeholders present a business in the best possible way in a plan. A business plan is a step-by-step process plan to turn a business idea into a successful business. It includes the following activities:

- Identifying business opportunities and innovation.
- Exploring the external environment for opportunities and threats.
- Identify internal strengths and weaknesses.
- Assess the feasibility of the business concept.

1.2.1 Elements of a Business Plan

The length of a business plan varies greatly from business to business. All information must be included in a 15–20-page document. No two business

plans are alike. But they all have the same elements. Below are some of the most common and important elements of a business plan:

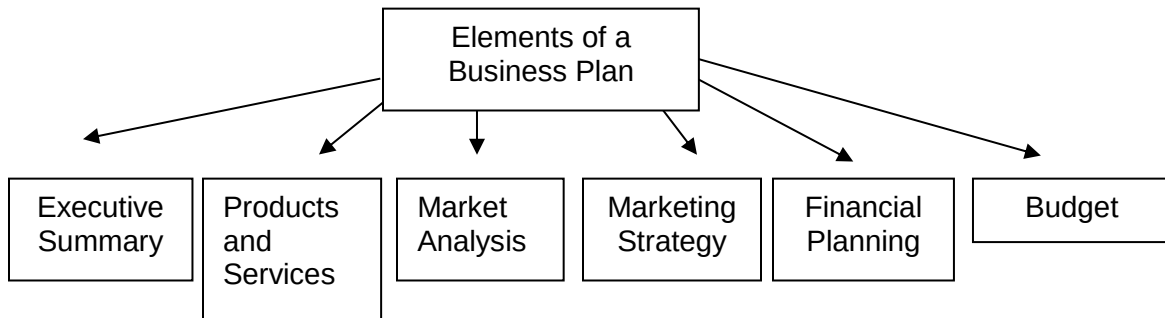


Fig 1: Elements of a Business Plan

- **Executive Summary:** This section describes the company. It includes the mission statement of the company and any other broad-level information about the company's leadership, employees, operations, and location.
- **Products and Services:** Here, the company can define the products and services they will offer. This may include the price, product life, and benefits to the consumer. Other factors that may fall into this category include manufacturing and production processes, any patents a company may have, and related technologies.
- **Market Analysis:** The firm states its position in the industry and the target market. It will highlight how the competition is and how it operates, as well as its strengths and weaknesses.
- **Marketing Strategy:** This section describes how the company will attract and retain its customer base and how it aims to reach the consumer. This means that a clear distribution channel must be defined.
- **Financial Planning:** To attract a party or potential investor that may study the business plan, a company can include its financial planning and forecasts for the future. Financial statements, balance sheets, and other financial information may be included in established businesses.
- **Budget:** Any good company needs to have a budget in place. This includes operating costs, development, production, marketing, and other business-related costs.

1.2.2 Types of Business Plans

Business plans guide owners, managers and investors as businesses start and grow in terms of revenue and customer base. A business owner, or potential business owner, writes a business plan to define each aspect of the business, outlining the objectives and how these will be met. Following are a few types of business plans. Though, there could be more types.

- **Start-Up Business Plans:** New businesses should provide details of the steps to start a new business with a start-up business plan. This document includes sections describing the company, products, or services that the business will provide, market research, and the planned management team.
- **Internal Business Plans:** Internal business plans identify specific audiences within a business. For example, a marketing team that needs to evaluate a proposed project. This document will describe the current state of the company, including operating costs and profits, and calculate how the business will pay the required project costs.
- **Strategic Business Plans:** A strategic business plan provides a high-level vision for a company's goals and how they will achieve them -- setting a basic plan for the entire company.
- **Feasibility Business Plans:** Usually written before making a business plan, a feasibility business plan answers two key questions about the proposed business: one, who will be the target customers and two, how the business will attain profit.
- **Operational Business Plans:** Operational business plans are internal plans that contain elements related to a company's operations. The operational plans, specify the timelines for the coming year.
- **Business Growth Plans:** Growth plans, or expansion plans, are profound descriptions of the proposed growth. These are written for internal or external purposes.

1.2.3 Checklist of a Business Plan

Business plans are written documents that explain specific details about new business ventures. Business plans not only guide entrepreneurs but can also

help protect a business from various risks. Business plans usually contain a few checklist elements:

- **Executive summary:** It is the most important part of the business plan because it includes brief summary which explains what company does.
- **Industry analysis:** It should include the market overview, which describes the size and characteristics of the market and relevant market size, which is specific to the calculation of the market size.
- **Customer analysis:** The target customers and their needs should be precisely defined. Target customers identify the current and intended customers. And customer needs will emphasise what customers want and expect from the products and services.
- **Financial Plan:** The most important part of a business plan is usually related to the financial framework of a new business venture. Based on current economic conditions, the financial plan sets out the initial cost, the first few months of estimated business costs, and the amount of foreign direct investment in potential sales.
- **Competition:** Business plans can also define the value of the current competition in the business environment. Business owners can explain how they will build a competitive advantage to get a fair market share and marketplace.
- **Marketing plan:** Your business plan should include sections like details about products, services, pricing, promotion plan, and distribution plan.

1.2.4 Preparation of a Business Plan

A good business plan needs to identify the strengths and weaknesses within a business. It should state the challenges and threats that may affect business performance. Preparation of a business plan includes the following steps:

Step 1. Preliminary Investigation: In order to create a viable venture, an entrepreneur should:

- Review available business plans.
- Design key business tests on which the plan is based.
- Explore the environment to discover the strengths, weaknesses, opportunities, and threats.

- Seek professional advice.
- Perform functional auditing.

Step 2. Idea Generation: It includes the design of a new concept/product/service or the addition of value to an existing product or service. The concept should satisfy the current needs and future demands of the market.

Sources of ideas can be:

- Consumers
- Existing companies
- Research and development
- Employees
- Traders and sellers

Step 3. Scanning the Environment: The internal and external environment should be re-evaluated to identify strengths, weaknesses, opportunities, and threats to the business. The entrepreneur should collect information from all formal and informal sources in order to understand the supporting and disruptive factors associated with the business industry.

Step 4. Feasibility Analysis: Feasibility analysis is done to determine whether the proposed project is viable or not. The study includes:

- A. Market Analysis:** It is conducted to evaluate the future need for the proposed product and estimate the future market share of the proposed product.
- B. Operational Analysis:** This is done to assess the effectiveness of the proposed business, especially to estimate the cost and availability of technology. In operational analysis, data is collected on parameters like availability of raw material, planning for material requirement, location of plant, capacity of plant, machinery and equipment, plant layout.
- C. Financial Analysis:** The feasibility is performed to assess financial matters related to the proposed business. The following estimates need to be made:
 - Cost of land and construction
 - Cost of plant and equipment
 - Initial cost estimate
 - Financing unforeseen circumstances

- Production costs
- Sales and production estimates

Step 5. Drawing Functional Plans: The feasibility study provides a clear picture of the proposed business. It helps make adjustments and create the following plans:

- A. **Marketing Plan:** A marketing plan sets out marketing strategies for a product or service to be offered by the business.
- B. **Production or Operating Plan:** A production plan is made by a business in the manufacturing industry. While an application-based plan is made by businesses involved in the service industry. These plans include the following strategies:
 - Location and reasons for choosing a location
 - Proposed physical layout
 - Cost and availability of machinery and raw materials
 - List of suppliers and distributors
 - Production and processing costs
 - Quality management
 - Production planning and production capacity
- C. **Organisational Plan:** This specifies the type of ownership. For example, whether the company is going to be a single proprietary, a corporate, partnership firm, private limited, or a public limited company. It also contains information about the organisational structures and procedures.
- D. **Financial Plan:** Indicates the financial need of the proposed business and provides the following information-
 - Costs incurred in the efficient use of all financial systems
 - Estimated cash flow
 - Projected income statement
 - Proposed breaking point
 - Standards set
 - Balance sheet
- E. **Human Resource Plan:** It consists of details like manpower requirement, recruitment and selection, compensation, organisational structure, wages and salaries, budgets, and remuneration.

Step 6. Preparation of Project Report:

This is a written document that explains, step by step, the strategies involved in starting and running a business. It is prepared when environmental scans are performed, and feasibility studies are conducted.

Step 7. Evaluation and Control:

In order to keep up with the dynamic environment and successfully compete with global competition, a business needs to periodically evaluate and review its performance. It is necessary to evaluate the management performance and review the business to adapt with the changing business environment and update the business plan when required.

1.3 Business Venture

A business venture refers to a new business that is formed with a business plan and expecting financial gains to follow. Often, this type of business is referred to as a small business, as it starts with small or limited financial resources. A business venture is often based on addressing a need for a service or product that is lacking in the market. This requirement is usually made by buyers requesting a particular product or service that serves a specific purpose.

Once the need has been determined, an investor or businessperson can start the business with the resources to develop and market the identified service or product. In the early stages of a business, investments are made by an investor, who is usually the business owner or creator of the idea. Often, businesses are funded by more than one investor, hoping that the system will be profitable over time.

Entrepreneurship is one of the most challenging but can be the most rewarding career path. From establishing a store and offering creative products and services to working in niche markets, business venture ideas abound. However, a great idea is not enough to succeed. One must also plan all the procedural steps and work within strict laws. Firstly, understanding a business venture is very important. Its purpose is to make a profit.

1.3.1 Types of Business Ventures

A business needs to be operated within the law. Whether it's an online store, a marketing agency, or a legal firm, choosing the right business structure is

necessary. This will determine your legal rights and the amount of tax due. The most common types of businesses include:

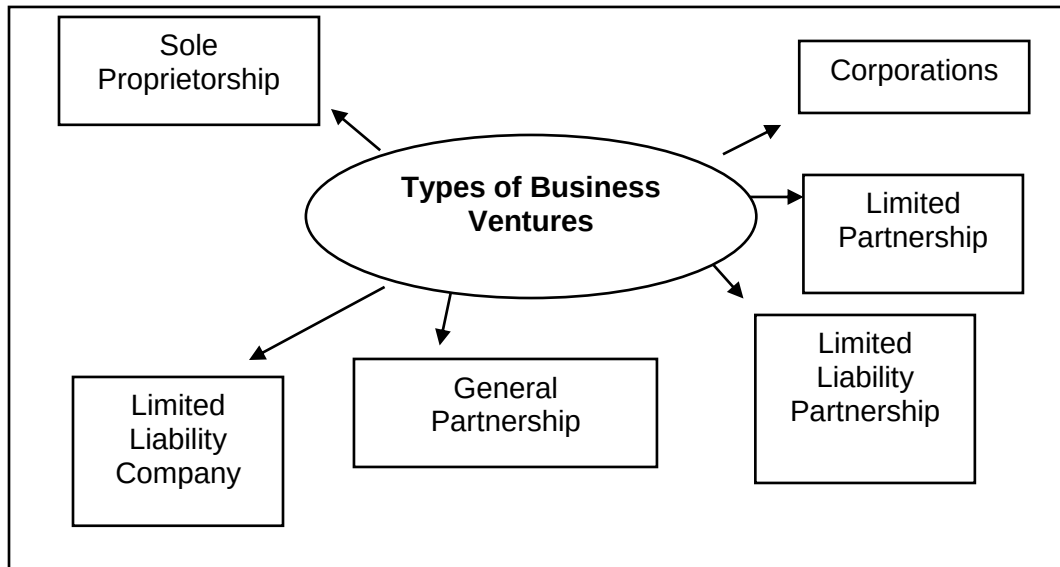


Fig 2: Types of Business Ventures

- **Sole Proprietorship:** A sole proprietorship is an unincorporated company owned by only one person. Although it is the simplest of all types of businesses, it offers the least amount of financial and legal protection to the owner. Unlike corporations or partnerships, sole proprietorship does not generate a separate business ownership or identity. In fact, a business owner shares the same identity or ownership as of the company. Therefore, the owner is fully responsible for any debts incurred by a company. An entrepreneur can choose this option to maintain full control of the company. In addition, it is an easy, simple, and inexpensive process to establish a sole proprietorship. There are also tax benefits, as income is considered personal income and is only taxed once.
- **Limited Liability Company (LLC):** Limited Liability Companies (LLCs) are one of the most dynamic types of businesses. LLCs cover both aspects of corporations and partnerships -- maintaining the tax benefits of a sole proprietorship and limited liability of corporations. LLCs are able to choose between different tax regimes. As long as an LLC chooses not to be run as a corporation, it retains its sole proprietorship tax status.

Moreover, LLCs benefit from a limited liability status-- the company exists as its own legal entity. This protects owners of LLCs from being liable for operations and debts of the business.

- **General Partnership:** As the name implies, a partnership is a business owned by two or more people, known as partners. Like sole proprietorship, the partnership can also take tax benefits. This means that the income is treated as the owner's income and therefore is taxed only once. The owners of the partnership are responsible for the firm's debts.
- **Limited Liability Partnership:** LLPs are similar to a general partnership, in which many partners are responsible for business operations. However, partners in LLPs are not directly responsible for the actions of other partners or business liabilities. Unfortunately, not all businesses can be LLPs. This type of business is limited to certain occupations, such as lawyers or accountants. In general, compared to other types of businesses, partnerships offer more flexibility but also have greater exposure to risk.
- **Limited Partnership:** This type of partnership has at least one common partner. This common partner takes on unlimited liability for the partnership and manages the company's operations. In addition, there are also limited partners in limited partnerships. Limited partners only take on debt equal to their financial value in the business. However, as limited partners, they are not involved in management decisions and have no direct control over the company.
- **Corporations:** Corporations are separate legal entities made by shareholders. Business inclusion protects the owners from personal liability for corporate liabilities or legal disputes. The company is much harder to build compared to the other three types of businesses. Entry documents should be written, including details such as the number of shares to be issued, the name and location of the business, and the purpose of the business. In sole proprietorship and partnerships, if one of the owners dies or claims to be dead, the company disintegrates. Corporations exist as separate legal entities.

1.4 Business Investment Strategies

An investment strategy is a plan designed to help investors meet their financial and investment goals. An investment strategy is a term used in the financial world to describe a plan on how to invest. Many investment strategies involve the distribution of assets into different classes to minimise risks. Asset allocation seeks to find a balance between risk and return, operating under the principle that different assets operate differently, at different times, and under different market conditions.

The distribution of assets depends on the intentions of the investors. For example, a person who wants to save and earn short-term returns will invest in savings by mixing cash, temporary bonds, and deposit certificates. In contrast, a person who wants to save for retirement can choose to invest most of his or her retirement funds in stocks knowing that they have time to avoid short-term market fluctuations. Risk tolerance also plays a big role, as it is important for the investor to feel comfortable with the investment plan.

As most non-institutional investors have limited investment budgets, they may find it difficult to achieve a diverse portfolio. As a result, there is growing popularity of shared funds. In this type of investing, investors split costs by investing in a pool of funds provided by different investors -, which mutual fund company touses. Mutual investment requires a lot of research by a professional investment manager to ensure that the right investment decisions are made.

1.4.1 Types of Business Investment Strategies

There are several business investment strategies. These are as follows:

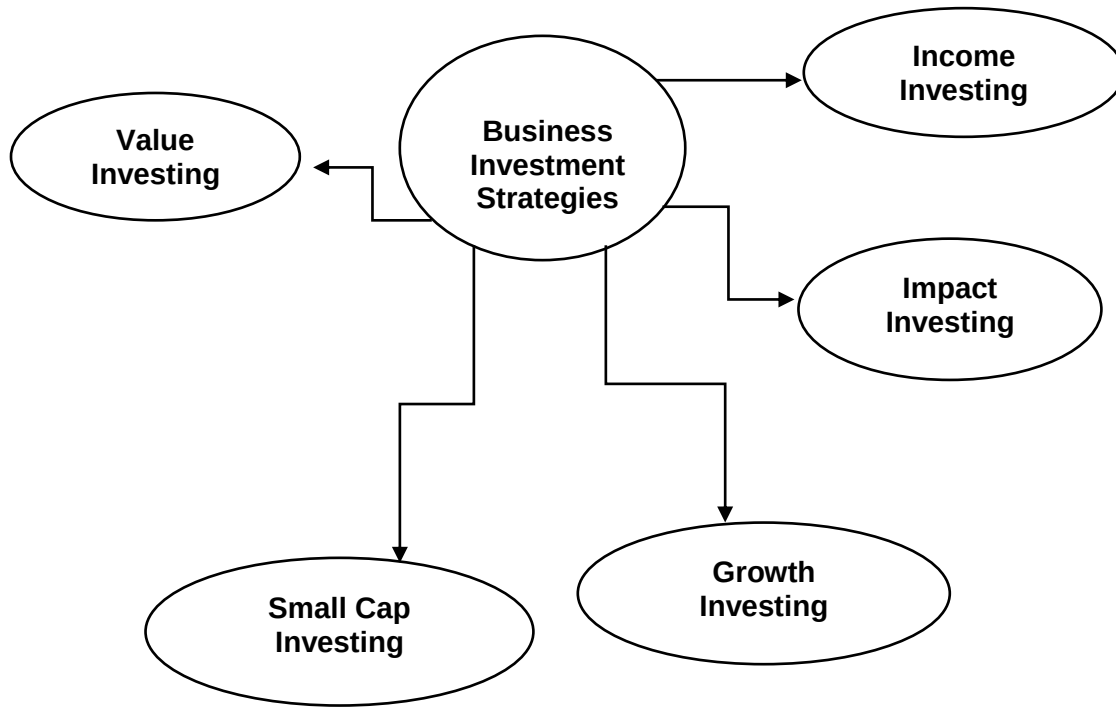


Fig 3: Business Investment Strategies

A. Value Investing

Value investing is about investing strategy in which stocks which are underappreciated by investors are being bought when they are sold at lower prices as compared to their real value. In this strategy, stocks often appear to be traded for less than their intrinsic value. When implemented well, investors can receive good returns. For this reason, value investing can be beneficial. Value investors buy stocks which are being sold at low prices; however, they know these will generate cash flow over time.

B. Income Investing

This investment strategy involves buying stocks that pay dividends. Income investors believe they can expect a steady return on a stable system. Examples of this include: shares that pay dividends, joint ventures based on

dividends, or bonds that generate revenue. Income investing involves security that pays off—this strategy is popular with people who do not know much about investing.

C. Impact Investing

This is an interesting strategy where investors buy companies that have a positive social or environmental impact. Impact investments are made with the intention to create positive, social, and impactful effects on society in general. The increasing popularity of impact investing provides funding to address the world's most pressing challenges in areas such as sustainable agriculture, renewable energy, conservation, low-income, and affordable basic services -- including housing, health care, and education.

D. Growth Investing

The growth investment strategy focuses on investing in companies with high growth rates. Companies like Facebook, Google, and Apple have high PE prices (Price of Earnings), and more growth is expected to come in the future. Investing in growth is an investment strategy that focuses on increasing a company's capital for investors. Growth investors often invest in growth stocks - that is, small or medium-sized companies whose earnings are expected to increase at an alarming rate compared to their industry sector or market as a whole.

E. Small-Cap Investing

Small capital investing is similar to growth stocks -- it focuses on whether the company can show significant growth in revenue. Investors, however, prefer smaller and more risky companies to buy them at an early stage when they are cheaper hoping to sell the stocks when the company grows substantially.

1.5 Summary

Let us recapitulate the important concepts discussed in this topic:

- A Business Plan is made depending on the nature and purpose of a business. It is a written document describing the company's core business objectives, objectives, and plans to achieve its goals.
- A business plan is a written document that explains in detail how a business, usually a start-up, describes its goals and how it will achieve

these. A Business plan lays down a company's roadmap to meet a proposed company's marketing, finance, and operational objectives.

- A business venture is a new business formed from a business plan and expecting financial gains to follow. Often, this type of business is referred to as a small business, as it starts with a small number of financial resources.
- A business venture is often built to cater to the need for a service or product that is lacking in the market. This requirement is usually made by buyers requesting a particular product or service that serves a specific purpose.
- An investment strategy is a system of selecting financial entities that suit the needs and objectives of investors, in addition to their risks, interests, and time. An investment strategy is a term used in the financial world to describe plans on how to invest.
- The different types of business investment strategies are: Value Investing, Income Investing, Impact Investing, Growth Investing, and Small Cap investing.

1.6 Glossary

Let us have an overview of the important terms mentioned in the topic:

- ***Break-Even Analysis:*** Break-Even Analysis is a financial tool that helps a company determine whether a company or a new service or product will be profitable. In other words, it is a financial measure to determine the number of products or services a company should sell or offer to cover its costs, especially fixed costs.
- ***Foreign Direct Investment:*** Foreign direct investment (FDI) is an investment made by a company or individual of one country into a foreign business. Typically, FDI occurs when an investor establishes a foreign business operation or acquires foreign business assets from an external company.
- ***Entrepreneurship:*** Entrepreneurship is the ability and willingness to develop, plan and manage a business and to accept the challenge with an uncertainty of profit.

- **Market Share:** A market share is the percentage of total sales in the industry made by a particular company. It is calculated by taking a company's sales over a period of time and then dividing the figure by total industry sales at a particular period.
- **Marketing:** Marketing is the process of making clients or customers more likely to be interested in buying a product or service. Marketing involves researching, promotion, selling and distributing products and services.
- **Organisational Structure:** Organisational structure is the system that describes how certain activities are directed to achieve the goals of an organisation. These functions may include roles, responsibilities, and rules in the organisation. It also defines the flow of decisions between the levels within an organisation.

1.7 Case Study

Starting a Bicycle Retail and Repair Shop: Case for a Plan

Sheila works as a departmental manager at a store close to where she lives. She manages all non-food products. Her team of eight people appear highly motivated. They consider Sheila, a good manager.

Although Sheila loves her job, her ambition has always been to start her own business. In fact, she now feels that the time is right to plan a future in business. Over the past few years, Sheila has saved regularly, putting a small amount of money aside each month into a savings account. This has built up well and will provide Sheila with some investment capital. However, she has realised that she must raise additional funds to create a viable business supporting her.

Sheila's Story: Sheila is very keen on cycling and is seen as something of a local 'hero' -- having won a couple of high-profile professional races two years ago. Sadly, she was involved in an accident that damaged her left knee last year. Following this accident, she had to retire from racing, but luckily, she was insured and has recently been awarded a small payout. Sheila plans to invest all of this payout in the new business.

Although she can no longer ride professionally, Sheila is still keen on cycling. She believes there is a good opportunity in the local town to open a bicycle

shop, selling new and second-hand bicycles and providing a high-quality repair facility. Her vision is to open a bicycle shop close to the town centre, with sufficient showroom space to display a range of high-quality new and second-hand bicycles. She needs sufficient room to repair bicycles, either behind the showroom or next door. Sheila's unique selling point (USP) is to offer a 24-hour turnaround service for customers, together with a pick-up and delivery service.

Raising Funds: These premises and the associated services will not be cheap. Sheila has some funds from her savings and from the insurance payout. Yet, she will need to raise some additional investment capital to secure the appropriate premises, fixtures, fittings, equipment, and a van. She will also have to select, train, and employ staff and fund the numerous other business costs during the critical start-up and development stages.

Although Sheila is at an early planning stage, she knows that she must research and evaluate the financial, operational, marketing, legal, and other aspects of this proposition in detail. She must also secure the various consents and adhere to the numerous laws and regulations if she is to have any chance of securing additional finance for this venture.

Now she needs to start putting together her business plan.

Discussion Questions: 1. Analyse the case in brief with key highlights.
2. Give details about the business plan which Sheila needs to create.

Column – I	Column – II
A – Standing Plans	i) Plans which are specifically designed to achieve a particular goal
B – Procedure	ii) Prescribed process in which a particular activity is performed considering the objective of the organisation.
C – Single-use Plans	iii) They include policies, procedures, methods, and rules
D – Policies	iv) General statements that guide thinking towards a particular direction.

- a) A – i)
- b) B – ii)

c) C – iii)

d) D – iv)

Ans – d)

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